



IFRS Accounting

For JV's in Upstream Oil & Gas



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This course is aimed at accounting professionals who wishing to deepen their knowledge of IFRS accounting in the upstream oil and gas sector with a particular emphasis on the issues posed when operating with joint venture partners.

It considers in detail the accounting practices that have developed in relation to successful efforts methods in the core areas of exploration, development and production and joint venture accounting under national accounting practices such as US GAAP before considering the interpretation and application of relevant IFRS. We will also consider alternative accounting treatments such as full cost capitalisation in so far as permitted by IFRS.

Throughout the programme we consider the impact on accounting and the procedures to be adopted by the operator in relation to their joint venture partners. In addition, with the current level of petroleum prices we consider the accounting consequences for impairment testing and booking of reserves.



Dubai, UAE

London, UK

Kuala Lumpur, Malaysia

Rio de Janeiro, Brazil

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Day 1

Background to Accounting Frameworks for Oil & Gas

- The upstream value chain
- Financial reporting frameworks (IFRS vs. US GAAP)
- Full cost vs. successful efforts

Partnering Arrangements

- Why have joint ventures
- The form of the joint arrangement
- Parties who do not have joint control
- Joint operator accounting and key aspects of the joint operating agreement

Case study: Identifying the key accounting issues posed by different contractual arrangements and accounting frameworks

The Joint Operating Agreement

- Content and typical provisions
- The accounting procedure
- Role of COPAS and AIPN and similar authorities
- Joint operator accounting and reporting
- Cash calls
- Billing statements

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Day 2

Drilling & Development

- Well classification
- Treatment of drilling and non-drilling costs
- Accounting for dry holes
- Impairment testing
- Comparison of key differences under US GAAP and IFRS
- Case study: Initial and subsequent accounting for drilling and non-drilling costs

Drilling and Development – Capitalisation of Borrowing Costs

- What needs to be capitalised
- Starting and ceasing capitalisation
- Borrowing rates
- **Case study:** Estimating borrowing costs for capitalisation

Drilling and Development – Decommissioning Costs

- What is the obligation and when are these recognized?
- Measuring the obligation
- What is the corresponding asset and how is it recognized and depleted?
- Subsequent changes to the obligation

Case study: Estimation, initial and subsequent accounting for decommissioning costs



ACCOUNTING

Day 3

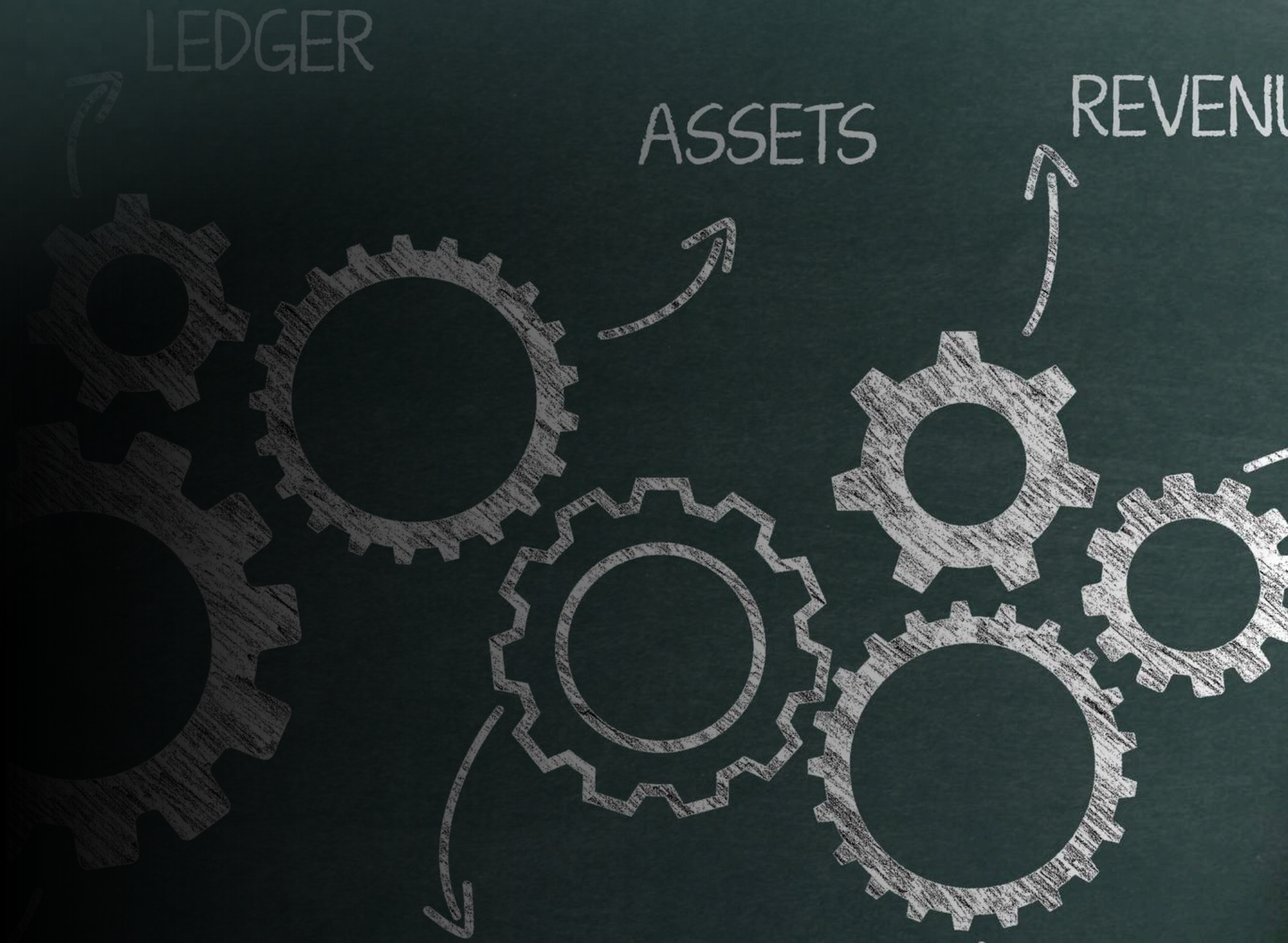
Accounting Issues during Production

- Measuring the cost of production
- Treatment of inventories
- Allocation of production costs
- Calculation methods for depreciation, depletion & amortization
- Impairment testing

Case study in cost allocation, DD&A and impairment

Joint Arrangement Accounting

- Purpose of joint arrangements
- Responsibilities of the operator
- Typical cost allocation and recovery arrangements
- Cash calling and funding arrangements
- Preparation and accounting for JV billing statements
- Financial reporting issues – forms of joint arrangement (IFRS 11)
- Financial accounting for JV's by the JV investors; application of the equity method (IAS 28)



Day 4

Revenue Recognition, Measurement and Allocation

- Overview of IFRS 15
- Measurement of oil and gas revenues
- Accounting for imbalance; differences in permitted treatments
- Treatment of royalties

Case study: Accounting for revenue imbalances

Conveyances and business combinations

- Distinguishing acquisitions of assets from acquisitions of businesses
- Pooling and unitisations and adjustment of interests
- Accounting for farm-ins and farm-outs and carried interests

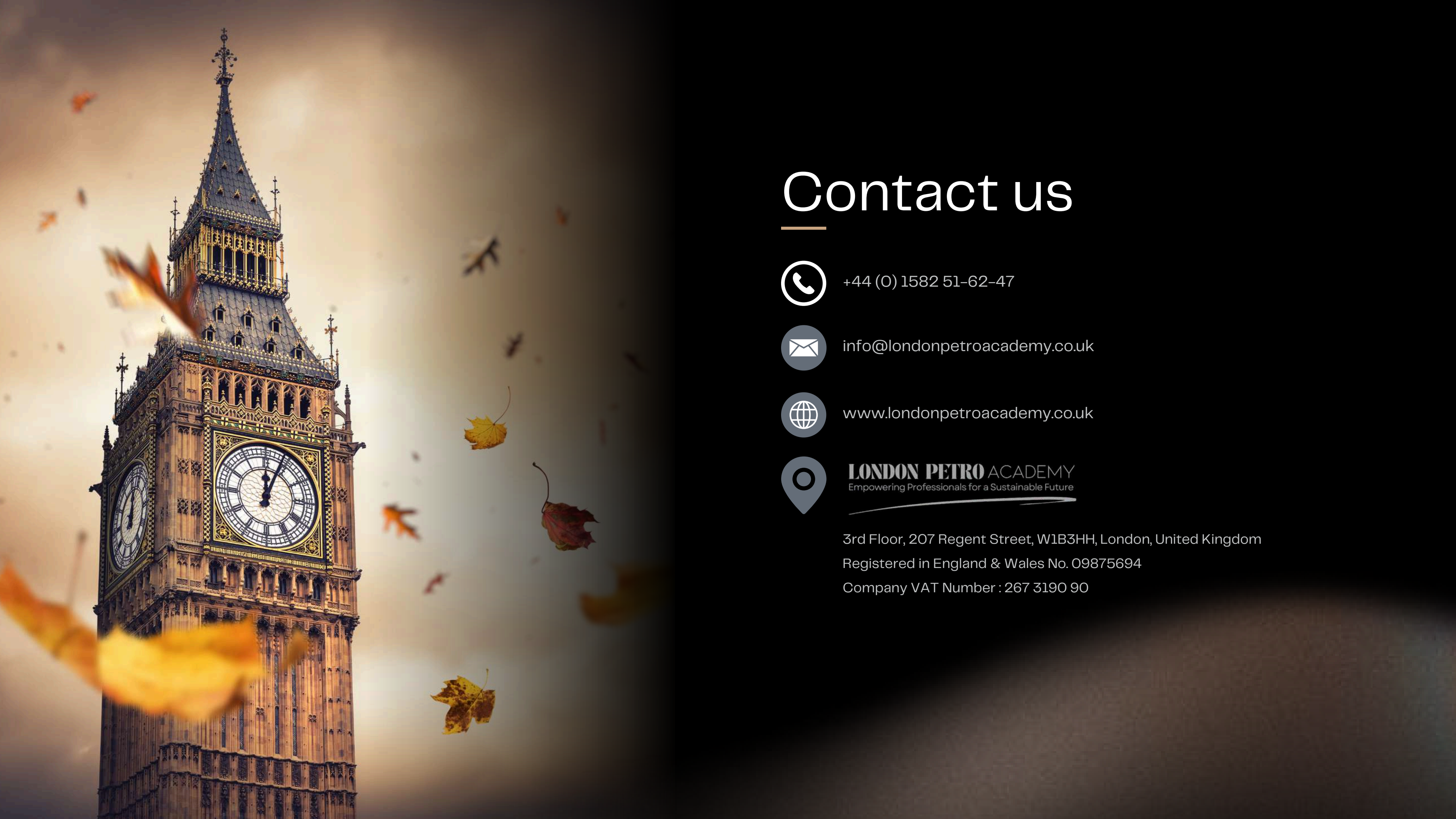
Case study: Accounting for transactions between venturers

Reserves Estimation and Disclosure

- Definitions of reserves and developments
- How reserves are used by analysts
- Use of reserves data for DD&A
- Supplemental Disclosure

Case study: calculating and analysing reserves ratios





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